

Performance management

We set ambitious targets and closely manage performance through a disciplined and focused operating cadence. Our performance management system is based on an annual planning cycle, in which we translate our vision and strategy into objectives and plans. The cycle starts with strategic planning, where we define our long-term ambitions, both financial and non-financial, and set our long-term priorities. Each year, Philips' strategic plan is translated into an annual operating plan, underpinned with Business Unit, Regional and Functional plans. Detailed plans to achieve the company's targets are cascaded into the organization and, ultimately, people's personal objectives, making clear what performance and behaviors are expected from them.

Policies, processes, systems and data

Our framework of policies, processes, systems and data principles applies throughout the organization. It allows our Business Units flexibility to adapt to specific requirements in order to meet specific Business Unit needs.

Enterprise-wide policies provide high-level mandatory rules that apply to all Philips employees. All enterprise-wide policies are maintained through a standard process and approved by the Board of Management. Function leaders can set more specific policies and standards within their mandate.

Philips' processes are captured in our process framework, where we manage end-to-end connections and define the critical process elements (including the 'what' and 'how', roles and responsibilities, systems and data, and compliance requirements). The process framework provides the foundation for our management systems, including quality, environmental, and health and safety, to ensure a compliant approach for processes, systems, data and competencies for a specific management area.

Patient safety, quality and regulatory and the Medical Office

Enabling the delivery of patient-centric, safe, and high-quality care – the essence of patient safety and quality – is foundational to Philips' purpose. The Patient Safety and Quality organization brings together the quality and regulatory affairs as one unified team in close coordination with the Medical Office. This team is positioned to foster the quality culture and implement the capabilities, processes, and tools required for operating in the highly regulated healthcare technology industry. This structured approach promotes non-conformance management, high standards of product quality, and compliance. The Chief Patient Safety and Quality Officer is a member of the Philips Executive Committee and reports directly to the Chief Executive Officer.

Our processes are designed to address specific, potentially negative impacts to patients, customers and consumers. They include:

- maintaining effective Quality Management Systems (QMSs)
- tracking Corrective and Preventive Action (CAPA) and complaint management performance, and supporting those who are accountable for the performance and reporting results (ultimately to the Board of Management)
- performing external audits for compliance and standards certification
- performing internal QMS audits
- having quarterly reviews by the Quality & Regulatory Committee of the Supervisory Board

As part of our CAPA approach, a centralized system collects, manages, addresses and stores complaints and other feedback from customers.

Teams in all Businesses, Regions, and Functions foster a quality culture and mindset, where all employees are encouraged to speak up and share ideas for improving the safety and efficacy of our products. In September 2025, Philips launched the Blue Heart Series, which included videos aimed at reinforcing our shared commitment to compliance, promoting the SpeakUp program, and fostering patient safety and quality as part of our overall culture. Employees reflected on how these elements, in particular patient safety and quality, are a personal commitment and obligation. We also continued to strengthen the patient safety and quality performance review meetings with each

Business individually and in the aggregate. Quality key performance indicators and quality performance metrics are part of our executive compensation. Additionally, every Philips employee has a quality and safety goal as part of annual performance objectives.

Quality

We strive to continuously raise our high-quality products, services, and quality and safety standards and are undertaking a top-to-bottom review of our quality management processes in collaboration with global regulatory experts. In 2025, we continued to improve accountability and ownership of quality systems engineering, reliability, and compliance.

We further reduced the number of product quality issues and continued our investment in system reliability to reduce complexity and improve efficiency.

FDA regulatory actions

Our commitment to patient safety is a top priority and is embedded in our corporate culture. In 2025, we included engagement with global regulatory agencies, such as the U.S. Food and Drug Administration (FDA), in our strategic planning, and six resulted in zero Class I recalls, and six resulted in a total of 14 observational enforcement actions, including on recalls of our medical devices. In 2025, we had 2 Class II recalls.

Philips Group
US FDA regulatory actions
Patient Safety and Quality
Total Class I Recalls
Total Class II Recalls
Warning letters issued (FDA)

In early 2025, the FDA conducted intensive inspections of nine of our facilities. Three of these inspections led to observations relating to documentation, processes and procedures. These relate to Philips Ultrasound facilities in the US, and a Philips site in the Netherlands that manufactures two products for the Enterprise Informatics business. The observations materialized in a warning letter. Philips submitted a response to the agency in accordance with regulatory requirements, and we are determined to resolve these issues to the full satisfaction of the FDA with the needs of patients and clinicians central to our focus. We are committed to continuously improving our documentation, processes and procedures in close collaboration with all relevant global regulators.

Regulatory Affairs

Regulatory Affairs, with representation on the leadership team of each Business and Region, further strengthened internal governance and requirements for engagements with national regulatory authorities, such as the FDA, European Medicines Agency (EMA), China's National Medical Products Administration, notified bodies, and national competent authorities in the EU.

As Philips is a global business in a dynamic regulatory environment, Regulatory Affairs bolsters our compliance with evolving regulations related to innovations in areas such as AI, healthcare informatics, and software design. Sought as strategic partners, the Regulatory Affairs team participated in international consensus standards groups alongside regulators and engaged with international regulators as invited experts and speakers at the International Medical Device Regulators Forum, Global Harmonization Working Party, and other meetings. Regulatory Affairs is working with the National Institutes of Health in the US to establish ethical applications of AI in medical devices.

Medical Office

The Medical Office focuses on supporting our Businesses; navigating the intricacies of addressing patients' and customers' unmet needs across a variety of ecosystems; and helping teams develop solutions that are safe, effective, and relevant for patients and healthcare providers.

The Medical Office is a global team of medical and scientific experts working within and across Businesses and is led by the Chief Medical Officer, who reports directly to the Chief Executive Officer.

The team is responsible for the design, generation, and sharing of clinical and economic evidence to show the value of our innovations in terms of enhancing the patient and care provider experience, improving patient outcomes, and increasing healthcare system productivity. The team collaborates with healthcare providers, and medical and scientific communities, as well as with private healthcare payers, governments and policy makers to expand access to, and ensure widespread use of, our innovations.

In 2025, we expanded the Philips Medical Office, further enhancing our own expertise and adding clinical partnership and public-private partnership expertise, to help accelerate innovation and business growth. We continued with the Philips Safety Board as a cross-functional forum, led by the Philips Medical Office, to provide independent expert advice to guide and support the Businesses on pre- and post-market product safety and risk evaluations.

The team continued advocacy and investment to combat non-communicable diseases, including cardiovascular disease and stroke, as well as to promote radiation safety, medical device testing, and improved access to physician and staff training, among others. The health economics team continued to contribute economic evidence to support innovation and expand access to high-quality care.

General Business Principles (GBP)

While pursuing our business objectives, we aim to be a responsible partner in society, acting with integrity towards our employees, customers, patients, business partners and shareholders, as well as the wider community in which we operate. To that end, our GBP – part of the Philips operating model – and their underlying policies incorporate and represent the fundamental principles by which all Philips Businesses and employees around the globe must abide. They set the minimum standard for our business conduct as a health technology company, for our individual employees and for our subsidiaries, and Philips rigorously enforces compliance. Our GBP also serve as a reference for the business conduct we expect from all our business

partners. The GBP and underlying Code of Ethics and Procurement Code of Conduct are available on our company website at www.philips.com/ethics.

The GBP (updated in 2024) include principles for all stakeholders, including internal (Finance, People, Legal). The Universal Declaration of Principles, governing the purchase and sale of Philips securities, that are designed to ensure applicable insider trading and other regulations (in particular the EU N listing standards). The GBP apply to all employees, the members of the Board of Supervisory Board of Royal Philips conducting business with honesty, integrity, and without corrupt practices, acts of bribery, and Anti-Money Laundering Policy. The GBP forms an integral part of the GBP.

The GBP are referenced and included in all partner agreements. Translations of the GBP into all languages, allowing almost every employee to understand the GBP in their native language. Detailed underlying policies are in place to give employees and uphold the GBP in their daily work. Employees reconfirm their commitment to the GBP by completing their GBP e-learning, and signed commitment for executive-level employees. In 2025, the Supervisory Board through the Blue Heart Series, focused on integrity.

execution of the agreed consent decree. The Committee reviewed the engagements with other regulatory authorities globally. Furthermore, the Committee reviewed and discussed with management the engagement with and communication efforts to patients, physicians, customers and durable medical equipment providers; the testing program and its outcomes; and health hazard evaluations. The Committee also discussed the level of related field action provisions, as set out in more detail in the report of the Audit Committee (see previous section).

- Review of other quality issues (other than the Philips Respironics voluntary recall), including site inspections and warning letters, and the progress made with resolving and closing such other issues.
- Review of progress in the transformation of the company's Patient Safety & Quality Function, aimed at further strengthening expertise and capabilities within the Function, including upscaling Patient Safety & Quality talent at mid-level leadership positions.
- Review of the progress made with global initiatives around the transformation, standardization and simplification of the company's structure and organizational processes relating to QMSs (the reduction of the current QMSs to one quarter versus the baseline), management systems, regulated manufacturing sites (legal manufacturers), Corrective and Preventive Action (CAPA) and complaint management.
- Review of the implementation of a Patient Safety & Quality IT roadmap and adoption of the IT and data enhancements.
- The status and outcome of quality- and regulatory-related investigations and inspections by regulatory authorities and notified bodies globally across the organization. Management also regularly provided the Committee with an overview of upcoming scheduled inspections across company sites by the FDA, as well as other regulatory authorities and notified bodies, and the actions taken to prepare for such inspections.
- Review of the product risk per Business based on a product assessment approach and remediation across the company, including findings resulting from internal audits.
- Review of the 2025 dashboard of quality and regulatory key performance indicators, showing the trend of performance. The Committee also reviewed the key performance indicators for 2026.

Non-financial element (30% weighting)

The non-financial performance categories and objectives were set at the beginning of the year and disclosed in the 2024 Remuneration Report. As per remuneration policy, each selected performance category received an equal weighting. The Supervisory Board has assessed performance and granted a pay-out between 0% and 200% per selected category.

Member of Board of Management	Performance category	Performance objective	Assessment of performance
Roy Jakobs	Patient safety and quality	Drive patient safety and quality as highest priority in the organization	Overall improvement in processes, controls and culture reflecting commitment to patient safety quality. Significant progress made on addressing consent decree requirements. FDA inspection a warning letter. It remains of crucial importance to further resolve the related causes.
	Customer	Improve market share and customer experience	Strong progress made on gaining Market share.
		Improve supply chain reliability	On-time delivery of orders as per customer expectations further improved.
	Strategy and execution	Drive focused strategy to win in the market	Accelerated growth in strategic growth businesses and launched several world-first innovations
		Establish simplified, more agile operating model	Strong progress on execution priorities with simplification of how work, improved operational performance and rigorous cost management and productivity.
ESG	Deliver on ESG commitments	ESG index realization ahead of target. Employee engagement in line with target. Talent building plan.	
Charlotte Hanneman	Patient safety and quality	Drive patient safety and quality as highest priority in the organization	Overall improvement in processes, controls and culture reflecting commitment to patient safety quality. Significant progress made on addressing consent decree requirements. FDA inspection a warning letter. It remains of crucial importance to further resolve the related causes.
	Customer	Improve market share and customer experience	Strong progress made on gaining Market share.
		Improve financial forecasting	Improved predictability on Margin, while opportunity to further improve Sales predictability.
	Strategy and execution	Drive focused strategy to win in the market	Accelerated growth in strategic growth businesses and launched several world-first innovations
		Establish simplified, more agile operating model	Strong progress on execution priorities with simplification of how work, improved operational performance and rigorous cost management and productivity.
ESG	Deliver on ESG commitments	ESG index realization ahead of target. Employee engagement in line with target. Talent building plan.	
Marnix van Ginneken	Patient safety and quality	Drive patient safety and quality as highest priority in the organization	Overall improvement in processes, controls and culture reflecting commitment to patient safety quality. Significant progress made on addressing consent decree requirements. FDA inspection a warning letter. It remains of crucial importance to further resolve the related causes.
	Customer	Manage legal issues	In 2025 important milestones were achieved in resolving the Respiroics recall related legal pro including the resolution of the US personal injury and medical monitoring litigation.
	Strategy and execution	Drive focused strategy to win in the market	Accelerated growth in strategic growth businesses and launched several world-first innovations
		Establish simplified, more agile operating model	Strong progress on execution priorities with simplification of how work, improved operational performance and rigorous cost management and productivity.
	ESG	Deliver on ESG commitments	ESG index realization ahead of target. Employee engagement in line with target. Talent building plan.